

Management:

The word management refers to all the tasks and activities undertaken by the people in an organization for the successful achievement of goals and targets. It involves continuous activities such as planning, organizing, leading and monitoring physical, financial and information resources. Any organization's success depends on the strength of those in management positions.

The term management is flexible and has been used in various ways. While it refers to organizational activities, it also denotes a body of knowledge or discipline. Some describe it as a means of leadership while others view it as an economic resource. To understand the meaning and nature of management, let's look at the concept from a broader perspective. Here are various categories that describe management in multiple contexts.

- 1. Management As A Process:** As a process, management aims at increasing productivity and efficiency in an organization. The purpose is to strengthen the client base, improve the knowledge, skills and capacity of employees to achieve particular targets and goals. Management is also a never-ending process that brings different teams and individuals together. Everyone works in harmony to achieve common objectives.
- 2. Management As An Activity:** As an activity, management looks at the daily tasks and accomplishments of an employee. It helps them prioritize activities and monitor progress, which further helps them grow in their roles. It prevents miscommunication and task repetition as everyone is aware of their roles and responsibilities. There is clarity and accountability—the cornerstones of business growth and success.
- 3. Management As A Profession:** Management as a profession has been popularized by courses and academic institutions across the globe. Several organizations prefer individuals with a Master of Business Administration (MBA) degree. Specialized knowledge (such as an MBA degree) provides an individual with a competitive edge, making them more desirable for managerial roles. Therefore, management has evolved as a body of knowledge that continues to solve various workplace problems.

Nature And Scope Of Management: It has already been established, different people view management differently. Therefore, defining the nature and scope of management becomes quite

challenging. Let's look at each of these terms independently and see how they play out in the context of management.

Nature Of Management: Management—as a systematic process—helps identify a group of people who carry out particular activities, thereby improving an organization's efficiency and effectiveness. Here are the salient features that highlight the nature of management in businesses.

1. Universality

Management is a universal process and is essential for all organizations. If there is human activity, there is management. The principles of management are applicable irrespective of the size and location of a business. The universal principle also means that managerial skills can be developed over time and they're transferrable.

2. Social Process

The nature of management involves organizing people in groups and managing them. It requires different levels of empathy, understanding and dynamism. In addition to taking care of social and emotional well-being, the process involves developing, motivating and retaining employees.

3. Purposeful

Management always has an end goal of achieving an organization's targets, mission and vision. The success of management can be measured by the extent to which an organization achieves its objectives. There is an underlying purpose of increasing efficiency and productivity. The objectives should be realistic, attainable and time-bound.

4. Intangible

There is no physical proof of the management process. Its success can be measured by the outcomes of its efforts. For example, lower turnover rates indicate there's high employee engagement and job satisfaction. This further shows that managers or individuals in managerial roles have taken proactive steps toward improving employee retention.

5. Coordination

Management coordinates all the functions of an organization by bringing together different teams and departments. Without coordination, there would be ambiguity and chaos. Therefore, by getting people on the same page, there is communication and minimized duplication of efforts.

6. Creativity

Management is made up of individual components and is a composite process. Every independent component contributes in unique ways. For example, group efforts encourage creative ideas and imagination. The sum of individual efforts creates synergy and something new is born.

7. Dynamic Function

Management should be dynamic at its core because businesses are often influenced by economic, social, political and technological factors. With room for flexibility and adaptability, individuals can perform well even in stressful situations. There should be adequate training and facilitation within the process.

Scope Of Management

Clearly defined responsibilities, concepts, theories and principles related to managerial functions define the scope of management. Let's look at the various aspects of this.

- 1. Financial Management:** Every enterprise prioritizes financial management because finances can get extremely tricky if not managed properly. Effective financial management ensures there are fair returns to

stakeholders, proper estimation of capital requirements and laying down optimal capital. It includes preparation and examination of financial statements, creating proper dividend policies and negotiations with external stakeholders.

2. **Marketing Management:** The scope of management in marketing extends to planning, organizing, directing and controlling activities in the marketing department. Identifying customer requirements is crucial for providing business solutions. When a manager is fully aware of the benefits of the products and/or services the organization provides, they achieve better results. Marketing management ensures that available resources are properly utilized and the best possible outcomes are achieved.
3. **Personnel Management:** Personnel management—as the name suggests—deals with personnel or individuals in a business environment. It includes the recruitment, transfer, termination, welfare and social security of employees. This aspect of management is extremely important as employees form teams and teams drive an organization's goals. Individual productivity also contributes to overall efficiency. Without attending to employee needs and wants, an organization is likely to struggle.
4. **Production Management:** This type of management refers to the process of creating utilities. When you convert raw materials to finished products and oversee the planning and regulation, you're engaging in production management. Without production, there isn't any finished good or service and without it, organizations can't generate interest or profits. The final product must fulfill customer requirements. The process includes quality control, research and development, plan layout and simplification.
5. **Office Management:** This includes controlling and coordinating all office activities to achieve an organization's goals and targets. For example, an administration's efficiency impacts a business significantly. The more organized the departments and responsibilities are, the more effective an organization is.

Functions of Management:

Management is defined as the procedure of organising, directing, planning and controlling the efforts of organisational members and of managing organisational sources to accomplish particular goals.

- **Planning** is the purpose of ascertaining in advance what is supposed to be done and who has to do it. This signifies establishing goals in advance and promoting a way of delivering them effectively and efficiently. In an establishment, the aim is the obtainment and sale of conventional Indian handloom and workmanship articles. They trade furnishings, readymades, household items and fabrics made out of classical Indian textiles.
- **Organising** is the administrative operation of specifying grouping tasks, duties, authorising power and designating resources needed to carry out a particular system. Once a definite plan has been set for the completion of an organisational intent, the organising party reviews the actions and resources expected to execute the program. It ascertains what actions and resources are needed. It determines who will do a distinct job, where and when it will be done.
- **Staffing** is obtaining the best resources for the right job. A significant perspective of management is to make certain that the appropriate people with the apt skills are obtainable in the proper places and times to achieve the goals of the company. This is also called the human resource operations and it includes activities such as selection, placement, recruitment and coaching of employees.
- **Directing** involves directing, leading and encouraging the employees to complete the tasks allocated to them. This entails building an environment that inspires employees to do their best. Motivation and leadership are 2 chief elements of direction. Directing also includes communicating efficiently as well as managing employees at the workplace. Motivating workers means simply building an atmosphere that urges them to want to work. Leadership is inspiring others to do what the manager wants them to do.
- **Controlling** is the management operation of controlling organisational achievement towards the accomplishment of organisational intentions. The job of controlling comprises ascertaining criteria of performance, computing the current performance, comparing this with organised rules and taking remedial action where any divergence is observed. Here management should ascertain what activities and outputs are important to progress, how and where they can be regulated and who should have the power to take remedial response.

Process of Management:



Henry Fayol's Administrative Management (1841–1925): Henri fayol is known as the father of Modern Management. He was a popular industrialist and victorious manager. Fayol considered that good management practice falls into certain patterns

that can be recognized and analysed. From this basic perspective, he devised a blueprint for a consistent policy of managers one that retains much of its force to this day. His five function of managers was the plan, organize, command, co-ordinate, and control. The principal of administrative management: 1.Division of labour, 2.Authority & responsibility, 3.Discipline, 4.Unity of command, 5.Unity of direction, 6.Subordination of individual interests to the general interest, 7.Remuneration of personnel, 8.Centralization, 9.Scalar chain, 10.Order, 11.Equity, 12.Stability of tenure, 13.Initiative and 14 .Esprit de corps (union of strength). These 14 principles of management serve as general guidelines to the management process and management practice. His principles of management are described below.

1. **Division of work:** This is the principle of specialization which is detailed by economists as an important to efficiency in the utilization of labour. Fayol goes beyond shop labour to apply the principle to all kinds of work, managerial as well as technical.

2. **Authority and responsibility:** In this principle, Fayol discovers authority and responsibility to be linked with the letter, the consequence of the former and arising from the latter.

3. **Discipline:** This discipline denotes “respect for agreements which are directed at achieving obedience, application, energy and the outward marks of respect”. Fayol declares that discipline requires good superiors at all levels, clear and fair agreement, and judicious application of penalties.

4.**Unity of command:** This is the principle that an employee should receive orders from one superior only.

5. **Unity of direction:** Fayol asserted that unity of direction is the principle that each group of activities having the same objective must have one head and one plan. As distinguished from the principle of unity of command, Fayol observes unity of direction as related to the functioning of personnel.

6. **Subordination of individual interest to general interest:** In any group, the interest of the group should supersede that of the individual. When these are found to differ, it is the function of management to reconcile them.

7. **Remuneration of personnel:** Fayol recognizes that salary and methods of payment should be fair and give the utmost satisfaction to worker and boss.

8. **Centralization:** Fayol principle of centralization refers to the extent to which authority is concentrated or dispersed in an enterprise. Individual circumstances will determine the degree of centralization that will give the best overall yield.

9. **Scalar chair:** Fayol believe of the scalar chair as a line of authority, a ‘Chain of Superiors’ from the highest to the lowest ranks and held that, while it is an error of subordinate to depart ‘needlessly’ from lines of authority, the chain should be short-circuited when scrupulous following of it would be detrimental.

10. **Order:** Breaking this principle into ‘Material order’ and ‘Social Order’, Fayol thinks of it as the simple edge of “a place for everything (everyone), and everything (everyone) in its (his) place”. This is a principle of organization in the arrangement of things and persons.

11. **Equity:** Fayol perceives this principle as one of eliciting loyalty and devotion from personnel by a combination of kindness and justice in managers dealing with subordinates.

12. **Stability of tenure of personnel:** Finding that such instability is both the cause and effect of bad management, Fayol indicated the dangers and costs of unnecessary turnover.

13. **Initiative:** Initiative is envisaged as the thinking out and execution of a plan. Since it is one of the “Keenest satisfactions for an intelligent man to experience”, Fayol exhorts managers to “Sacrifice Personal Vanity” to permit subordinates to exercise it.

14. **Esprit de corps:** This is the principle that ‘union is strength’ an extension of the principle of unity of command. Fayol here emphasizes the need for teamwork and the importance of communication in obtaining it.